Executive Memo — Collections Recovery

Decision

The reported 11% month-on-month recovery improvement is not supported as evidence of underlying collection effectiveness. Do not commit the Rs.10 Cr investment on current observational evidence; run a controlled targeting experiment first.

1. What happened?

The reported ~11% is arithmetically reproducible for one month pair: gross recovery rose from **Rs.17.01 Cr in February to Rs.18.89 Cr in March, +11.03%**. However, corrected recovery/account also rises ~11.73% over the same pair, so the exact leadership KPI basis cannot be identified from the supplied brief. More importantly, this single favorable month pair is not sustained across the full Jan–Jul series.

Gross successful-payment recovery remained broadly flat through complete January–July months. Recovery from accounts actually in the month-start working population was Rs.6,241 → Rs.6,230/account (approximately –0.2% Jan→Jul). January-mix standardized recovery and fixed-January-cohort recovery are also approximately flat.

2. Why?

The working population contracts while the payment numerator includes accounts outside that month-start population. By July, approximately Rs.6.49 Cr (34.6%) of gross recovery came from accounts outside the month-start working population. A prior rule permanently excluded accounts after a first terminal status even though later activity exists; the corrected rule uses latest status as of month-start.

3. Confidence

FACT: gross recovery is broadly flat; duplicate payment IDs exist; mix-standardized and fixed-cohort recovery are flat; no clean targeting intervention/control is identifiable. **STRONG EVIDENCE:** the headline recovery/account improvement is primarily a denominator/population-alignment artifact. **CORRELATION:** DPD, geography, loan type and intervention exposure differ in recovery. **HYPOTHESIS:** exact cause of stepwise monthly jumps remains unresolved.

4. What should we do?

Do not scale telephony, headcount, AI voice, targeting, WhatsApp/digital or field operations solely from this historical data. Run a controlled targeting experiment, randomized within DPD × risk × geography × loan type. Primary KPI: incremental recovered Rs. per eligible account.

5. Expected financial impact

A defensible Rs.10 Cr ROI cannot currently be calculated because the data lacks both a causal incremental-recovery estimate and intervention-specific cost inputs. The financially defensible action is to buy information through a controlled pilot before committing capital. The pilot should use a pre-registered primary KPI and preserve the same population, attribution and payment-window definitions across treatment and control.